

# Paymon Khorrami

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## Appointments and Affiliations

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### **Duke Fuqua School of Business**

Assistant Professor of Finance

2022–present

### **Imperial College Business School**

Assistant Professor of Finance

2019–2022

### **Affiliate member of the CESifo Network**

2019–present

### **Member of the Finance Theory Group**

2024–present

### **Visiting Scholar at the Federal Reserve Bank of Chicago**

2024–present

## Education

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### **The University of Chicago**

Ph.D. in Financial Economics

2019

Thesis: “The Risk of Risk-Sharing: Diversification and Boom-Bust Cycles”

Committee: Lars Peter Hansen, Zhiguo He, Veronica Guerrieri, Pietro Veronesi

### **The University of Chicago**

B.A., Economics

2009

## Publications

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“Dynamic Self-Fulfilling Fire Sales” (with Fernando Mendo), *Journal of Finance*, Forthcoming

“Segmentation and Beliefs: A Theory of Self-Fulfilling Idiosyncratic Risk” (with Alexander Zentefis), *Journal of Economic Theory*, 2025

“Comparative Valuation Dynamics in Production Economies” (with Lars Hansen and Fabrice Tourre), *Annual Reviews of Financial Economics*, 2024

“Commonality in Credit Spread Changes: Dealer Inventory and Intermediary Distress” (with Zhiguo He and Zhaogang Song), *The Review of Financial Studies*, 2022

## Working Papers

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“Rational Sentiments and Financial Frictions” (with Fernando Mendo)

*Review of Economic Studies*, R&R

“Entry and Slow-Moving Capital: Using Asset Markets to Infer the Costs of Risk Concentration”

*Management Science*, R&R

“Escaping Uncertainty Traps” (with Fernando Mendo)

“Monetary Shocks and Long-Run Neutrality in Asset Pricing” (with Anna Cieslak)

“A Model-Free Assessment of the Importance of Subjective Beliefs for Asset Pricing”

“The Magic of Markets: Information Acquisition and Aggregation with Strategic Traders” (with João Thereze)

“Climate Risk, House Prices, and Neighborhood Dynamics” (with Jung Sakong)

“Human Capital in a Time of Low Real Rates” (with Jung Sakong)

“The Risk of Risk-Sharing: Diversification and Boom-Bust Cycles”

## Honors and Awards

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|---------------------------------------------------------------|-----------|
| Best Discussant at CDI 14th Conference on Derivatives         | 2025      |
| CESifo Distinguished Young Affiliate Award                    | 2019      |
| Cubist Systematic Strategies Research Paper Award             | 2019      |
| Outstanding Graduate Lecturer for an Economics Topics Course  | 2018      |
| Bradley Foundation Fellowship                                 | 2017      |
| Macro-Financial Modeling Dissertation Fellowship              | 2016      |
| Stevanovich Center Student Fellowship in Quantitative Finance | 2016      |
| Fischer Black Fellowship in Finance                           | 2015-2016 |
| Martin and Margaret Lee Prize in Advanced Financial Economics | 2014      |
| CRSP Summer Paper Award                                       | 2013      |
| John and Serena Liew Fama-Miller PhD Fellowship               | 2012      |
| Chicago Booth School of Business Doctoral Fellowship          | 2012-2016 |

## **Presentations**

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- 2026 European Winter Finance Summit, Princeton
- 2025 NC State, UChicago Blue Collar Working Group, OFR Young Scholars, CEPR Household Finance, SFS Cavalcade, Western Finance Association (WFA) x2, Norway CAS Asset Pricing with Heterogeneous Investors closing conference, Conference on Sustainable Banking and Finance (CSBF), European Finance Association (EFA), Michigan Ross, Purdue Daniels
- 2024 HKUST econ, HKUST finance, ASU Sonoran, Midwest Finance Association (MFA), UChicago Blue Collar Working Group, Macro-Finance Society, Financial Intermediation Research Society (FIRS), European Finance Association (EFA), Yale Juniors Conference, Maryland, Loyola-Chicago, Duke (econ)
- 2023 Richmond Fed, Johns Hopkins, Boston College, PUC-Rio, SAIF, Southern Economics Association (SEA)
- 2022 National University Singapore, Duke Fuqua, CESifo Macro-Money-Int'l, HKU, Wisconsin School of Business, University of Chicago (Lars Hansen 70th Birthday Conference)
- 2021 American Finance Association (AFA), Virtual Junior European Finance seminar, Financial Intermediation Research Society (FIRS), Macro-Finance Society, USC Marshall Brownbag, Yale SOM
- 2020 London Empirical Asset Pricing, INSEAD, Western Finance Association (WFA), NBER Summer Institute, CESifo Macro-Money-Int'l, Midwest Finance Association (MFA)
- 2019 Duke Fuqua, Imperial College London, Northwestern Kellogg, UPenn Wharton, UCLA Anderson, Princeton, Western Finance Association (WFA), CESifo Macro-Money-Int'l, UNIL/EPFL/SFI
- 2018 Platform for Advanced Scientific Computing (PASC), University of Zurich, Young Economists Symposium (YES)
- 2017 Chicago Initiative in Theory and Empirics (CITE), Macro-Financial Modeling (MFM) Summer Session, Crossing Disciplinary Boundaries (University of Chicago)
- 2016 Trans-Atlantic Doctoral Conference (TADC)

## **Discussions**

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- 2025 MFA: “Extrapolative Investor Demand and Reflexivity in Credit Booms and Busts”  
SFS Cavalcade: “Equity Premium Events”  
UChicago Yiran Fan: “Welfare Costs and Benefits of Deficit-Financed Fiscal Policy”  
WFA: “Creditor-on-Creditor Violence and Secured Debt Dynamics”  
WFA: “Demand-Based Expected Returns”  
CDI 14th Derivatives Conf: “The Fed and the Wall Street Put”  
Macro-Finance Society: “Using asset prices to measure the long-run impact of monetary policy”
- 2024 Duke/UNC Asset-Pricing: “How Effective are Portfolio Mandates?”  
SFS Cavalcade: “Treasury Markets, Inflation and Taxes”  
WFA: “Movements in Yields, not the Equity Premium: Bernanke-Kuttner Redux”  
WFA: “The Risk Channel of Unconventional Monetary Policy”

- 2023 UChicago Yiran Fan: “Heterogeneous Impact of the Global Financial Cycle”
- 2022 SFS Cavalcade: “The Risk-Rent Trade-off”  
 UNC Junior Roundtable: “Waiting for Capital: Dynamic Intermediation in Illiquid Markets”  
 Stockholm BI-SHoF Conf: “A Long and a Short Leg Make For a Wobbly Equilibrium”  
 CICM: “Leasing as a Mitigation Channel of Capital Misallocation”  
 WFA: “Maturity Increasing Overreaction and Bond Market Puzzles”  
 USC Juniors: “Cleansing by Tight Credit: Rational Cycles and Endogenous Lending Standards”
- 2021 UChicago Yiran Fan: “A debt-financed real estate boom with an endogenous credit crunch”  
 SFS Cavalcade: “Stock Market and No-Dividend Stocks”  
 Juniors in European Finance: “Bankruptcy Codes and Risk Sharing of Currency Unions”  
 Juniors in European Finance: “Dealer Networks and the Cost of Immediacy”  
 CESifo Macro-Money-Int’l: “Financial Cycles under Diagnostic Beliefs”
- 2020 MFA: “Dissecting Bankruptcy Frictions”  
 WFA: “Investment Sophistication and Wealth Inequality”  
 SFS Cavalcade: “Dynamic Equilibrium with Costly Short-Selling and Lending Market”
- 2019 MFA: “Volatility, Intermediaries, and Exchange Rates”  
 Adam Smith Workshop: “Are Tokens Securities? An Anatomy of Initial Coin Offerings”
- 2018 Young Economists Symposium: “Time-Varying Market Participation: A Potential Resolution of Asset Pricing Puzzles”
- 2017 MFA: “Dynamic-Agency Based Asset Pricing in a Production Economy”
- 2016 TADC: “An Analysis of Consumer Debt Restructuring”

## Refereeing

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American Economic Review, Quarterly Journal of Economics, Review of Economic Studies, Management Science, Journal of Finance, Journal of Financial Economics, Review of Financial Studies, Review of Asset Pricing Studies, Review of Finance, Economic Journal, Financial Management, Journal of Financial Markets, Journal of Empirical Finance, Journal of Banking and Finance, Journal of Economic Dynamics and Control, Journal of Monetary Economics, Journal of Economic Theory, Economic Letters, Journal of the European Economic Association

## Teaching

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|----------------------------------------------------------------|--------------|
| Derivatives (MBA and MSc), Duke Fuqua                          | 2022–present |
| Continuous-Time Macro-Finance mini-course, PUC-Rio             | 2023         |
| Mathematics for Finance (MSc), Imperial College London         | 2019-2021    |
| Introduction to Finance (undergraduate), University of Chicago | 2018         |
| Introduction to Finance (undergraduate), University of Chicago | 2015         |

# PhD Advising

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Rong Wang (Co-Chair, PhD 2026 expected), Andrew Kane (committee member, PhD 2024)

# Previous Work

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|------------------------------------------------------|-----------|
| Federal Reserve Bank of Chicago, Associate Economist | 2010-2012 |
| Grosvenor Capital Management, Associate              | 2009-2010 |